

MARKET SURVEY:

With A Favourable Environment, Indian Wound Component Manufacturers Can Compete with Chinese



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Electronics components industry is one of the key components that complete the Indian electronics system design and manufacturing (ESDM) sector. With the new government, change in global landscapes in ESDM sector and cost structures, attention of many big companies around the world has diverted towards investing in India. Global companies are aiming to assemble local facilities in India, not just to serve the resident market but also to cater to overseas markets.

Having said that, the current situation of the coil wound components sector in India is not very rosy. "The prevailing situation of electrical components distribution in India is not very promising," agrees Neeraj Bharara, director, Rosy Electronics. Coil wound industry in India has been in a low phase, considering the past few years. He adds, "Many former players have diversified into other areas."

Due to the inability to compete with coil wound components, in terms of pricing for components, imported from abroad (especially China), there are few companies in India that manufacture these components. Industry experts feel that with friendly policy environments, restriction on imports, adequate infrastructure support and overall growth across all dependant sectors, there will be tremendous growth in the wound component sector. It will also provide Indian manufacturers with a platform to compete with Chinese manufacturers. Let us take a look at how this industry is currently doing.

Demand is mostly met by imports

Demand for coil wound components has always been there and is sure to rise. Transformers form a major chunk of wound components. Major portion of the components is imported from overseas countries. According to a recent India Electronics & Semiconductor Association (IESA) sponsored Frost & Sullivan report, consumer and industrial electronics segments drive the demand for transformers. And, owing to cost advantage, transformers are predominantly imported from China, Taiwan and South Korea.

Bharara says, "A lot of products are imported from China and, at the present moment, it is the biggest vendor of electrical components." He adds, "To create a demand for coil wound components in India, there is a need to boost manufacturing facilities in India."

Bottlenecks in this industry

Raw materials, winding machinery, operational management and lack of branding are major reasons for the inability of Indian

Ring-core transformer

